



PAPER – 5: AUDITING AND ETHICS



QUESTIONS

PART – I: Multiple Choice Questions based on Case Scenarios

Case Scenario

Joy Ltd., a company engaged in the business of trekking essentials, appointed CA Raj as the Statutory Auditor for the year. Due to the large volume of transactions of the company, the audit engagement team of CA Raj realized that it would not be feasible to audit each transaction separately during the financial year under audit. Therefore, Engagement Partner decided to apply following audit sampling techniques:

- Random number tables were used for selection of sample for power, telephone, and fuel charges.
- No structured method of sampling was used for office stationery.
- Transactions exceeding ₹ 8,000 were selected for travel expenses.
- The first 200 sales invoices from the sales book for the month of July were selected for sales.

Mr. Suresh, one of the team members, compared the salary expenses incurred by the company during the current year with those of the previous five years. He noticed a significant percentage increase in the expenses. This unusual increase raised doubts in his mind. He decided to compare such an increase in salary expenses with the increase in the number of employees.

The company is having warehouse at 2 locations. CA Raj is planning to attend the physical inventory count process. The inventory includes finished products

such as trekking jackets, bags, shoes etc., and raw materials like leather, cloth, chemicals, etc. Some of the inventory is also held by a third party.

During a discussion among the team members regarding the sufficiency and appropriateness of audit evidence, they agreed that sufficiency is the measure of quantity of the audit evidence and appropriateness is the measure of quality of audit evidence.

Joy Ltd. operates 100 stores on rented premises across the country and is in the process of expanding. Although the rent expenses have been accounted for, the auditor requested the management to provide all active rent agreements for the year under audit for detailed examination.

Based on above, answer the following questions: -

1. Which of the sampling techniques were used for the following transactions:
 - (i) Power, telephone and fuel charges;
 - (ii) Office Stationery;
 - (iii) Travel expenses; and
 - (iv) Sales.

(Answer in the given order)

 - (a) Random sampling, Systematic sampling, Monetary unit sampling, Block sampling.
 - (b) Systematic sampling, Random sampling, Block sampling, Haphazard sampling.
 - (c) Random sampling, Haphazard sampling, Monetary unit sampling and Block sampling.
 - (d) Random sampling, Haphazard sampling, Monetary unit sampling and Systematic sampling.
2. Which audit procedure was Mr. Suresh intended to perform by comparing salary expenses?
 - (a) Test of details.
 - (b) Test of balances.

- (c) Test of control.
 - (d) Substantive analytical procedure.
3. Which of the following is not part of CA Raj's responsibility with respect to the inventories held by the third parties?
- (a) CA Raj should request confirmation from the third party regarding the quantity and condition of the inventory held by them.
 - (b) CA Raj should perform an independent valuation of the inventory based solely on the company's internal records.
 - (c) CA Raj should request the third party to allow him to physically inspect the inventories held by them.
 - (d) CA Raj should review the terms of the agreement between the company and the third party to understand the responsibilities related to inventory management.
4. Which audit procedure was used by CA Raj while collecting all rent agreements?
- (a) Inspection.
 - (b) Analytical procedure.
 - (c) Reperformance.
 - (d) Observation.
5. In the given case, the audit team of CA Raj discusses the sufficiency and appropriateness of audit evidence. In the context of Joy Ltd.'s audit, the team was considering various factors affecting the sufficiency of the evidence they gathered for large-volume transactions. Which of the following is not a factor that would influence the auditor's judgment on the sufficiency of audit evidence?
- (a) Materiality of the transactions.
 - (b) Risk of material misstatement in the financial statements.
 - (c) Size and characteristics of the population being audited.
 - (d) The type of products Joy Ltd. manufactures (trekking essentials).

General MCQs

6. CA Sumit, during the process of assembling the audit file after the completion of the audit, briefed his team on the changes to be made in the audit documentation. Which of the following changes can be made during the audit file assembly stage?
- A. Sorting, collating and cross referencing of working papers.
 - B. Deleting or discarding superseded documents.
 - C. Recalculation of depreciation.
 - D. Recalculation of Interest on loans.
 - E. Signing off of completion checklist relating to file assembly.
- (a) A, B and E
(b) C and D
(c) A, C and D
(d) A, C, D and E
7. CA Rao is conducting an audit for ABC Ltd., a large client. He is informed by the client's CFO that if they report certain deficiencies, the auditor's firm may not be considered for future engagements. Which type of threat does this scenario represent?
- (a) Familiarity Threat
 - (b) Intimidation Threat
 - (c) Self-interest Threat
 - (d) Advocacy Threat
8. CA Kaushal, the statutory auditor of Femo Ltd., obtained trade receivables ageing report, analysed it and identified doubtful debts during the audit of accounts receivable balances. Which Balance Sheet assertion is CA Kaushal intended to check?
- (a) Valuation
 - (b) Rights and obligations
 - (c) Existence

- (d) Completeness

PART II – Descriptive Questions

Chapter 1 - Nature, Objective and Scope of Audit

9. RST Ltd., a retail company, has set up internal controls requiring all invoices to be stamped and signed by an authorised person in "Goods Receiving Section" of the company stating the date and time of receiving goods in premises to ensure that only those purchase bills are produced for payment for which goods have been actually received.

During the audit, the auditor finds that two employees – a purchasing manager and an accounts clerk – have worked together to bypass this control, submitting fake invoices that resulted in payments for goods that were never received. You are required to state the objectives of an audit, as per SA 200, when it comes to ensuring the reliability of financial statements? Also explain, why auditor can provide only reasonable, rather than absolute, assurance that the financial statements are free from material misstatement due to fraud or error in the context of the given situation?

Chapter 2 - Audit Strategy, Audit Planning and Audit Programme

10. During the audit of ABC Ltd., a medium-sized manufacturing company, the engagement partner is responsible for directing and supervising the work of the engagement team. The team includes both experienced members and several new trainees. Additionally, certain areas of the audit have been identified as high-risk, such as revenue recognition and inventory valuation, due to recent changes in ABC Ltd.'s accounting policies. What factors should the engagement team members consider when determining the nature, timing, and extent of direction, supervision, and review of the engagement team's work?

Chapter 3 – Risk Assessment and Internal Control

11. The auditor of EFG Ltd., a company engaged in the Tours & Travel business, needs to obtain an understanding of the company's control environment. To do this, the auditor evaluates whether:
- (i) Management has created and maintained a culture of honesty and ethical behaviour; and

- (ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

What is included in control environment? Also explain the elements of control environment.

Chapter 4 – Audit Evidence

12. CA Mukul is the external auditor of Beige Ltd., a large company, engaged in the manufacturing of fast-moving consumer (FMCG) goods. After assessing the internal audit function of the company, CA Mukul decided to use the internal auditor of the company to provide direct assistance. In this context, what is meant by direct assistance under relevant Standard on Auditing? Also comment whether prior to using internal auditor for direct assistance for the purpose of audit, CA Mukul is required to obtain any written agreements or not. Give examples of procedures in which CA Mukul shall not use an internal auditor to provide direct assistance.

Chapter 5 - Audit of Items of Financial Statements

13. During the audit of Rapid Industries Private Limited, CA Akshat notices that inventories of raw materials & consumables and work-in- progress amounting ₹ 2.50 crores and ₹ 0.25 crores appear in the financial statements of the company as on March 31st, 2024. He wants to verify that the above-mentioned inventories have been valued appropriately and as per generally accepted accounting policies and practices. How should he proceed to verify the above?

Chapter 6 – Audit Documentation

14. CA Ripun completed the audit of a listed company, and the audit report was issued on July 17th, 2024. However, he had not properly organized the audit working papers, including records of discussions with management, audit procedures performed, and conclusions reached. More than six months after issuing the report, he received a letter from the regulator in connection with audit of the company requesting him to share copy of audit file. In a hurry, CA Ripun quickly assembled the audit file, adding some papers he thought were necessary, but he used the

current date on these newly added documents. He then sent the audit file to the regulator. Discuss the issues involved related to "audit documentation" and assembling of the final audit file in this case.

Chapter 7- Completion and Review

15. During the audit of a company, CA Kartik has noticed that company's turnover has fallen drastically as compared to last three years due to loss of its major markets and key customers. The company is in need of funds for new product development, but bankers are not willing to lend financial support. Which additional audit procedures need to be performed by CA Kartik in accordance with SA 570 when such events or conditions are identified?

Chapter 8 – Audit Report

16. The nature of the comparative information that is presented in an entity's financial statements depends on the requirements of the applicable financial reporting framework. There are two different broad approaches to the auditor's reporting responsibilities in respect of such comparative information: corresponding figures and comparative financial statements.

Explain clearly the differences between the approaches stating the essential audit reporting. Also define comparative information and audit procedures regarding comparative information.

17. Kiran, a CA student, was reviewing an audit report of the company when she noticed an 18-digit alphanumeric code below the auditor's signature and membership number. She wants to understand the purpose and importance of this randomly generated number as unique code. Is this code required for audit reports only?

Chapter 9 – Special Features of Audit of Different Type of Entities

18. An NGO based in Kolkata collected significant donations for flood victims in Bihar. The funds were distributed to various NGOs operating in Bihar to support relief efforts. You have been appointed as the auditor for this NGO's accounts for the year in which it collected and disbursed these donations. Draft an audit program to audit the receipts of donations and the remittance of the collected funds to different NGOs.

Chapter 10 – Audit of Banks

19. Agrim, a CA student, is part of an engagement team conducting audit of Madurai branch of ARB Bank. CA Bhuvan, engagement partner, has asked him to verify provision made by branch as on March 31st, 2024 in respect of the following non-performing assets: -

Name of Account	NPA classification	Outstanding amount as on March 31st, 2024 (In ₹ lakhs)	Amount of provision made (In ₹ lakhs)
AK Industries	Doubtful (D1)	10.00	5.00
Jupiter Traders	Substandard asset	50.00	7.50
VT & Co.	Doubtful (D2)	30.00	30.00
ASD & Sons	Loss	1.00	1.00

The engagement partner has already verified NPA classification. Outstanding amounts as on March 31st, 2024, relating to each NPA account listed above (except ASD & Sons) are fully secured. However, only personal guarantee of proprietor (Net worth of proprietor ₹50 lakhs) is available in account of ASD & Sons. Comment on the correctness of the above provisions.

Agrim is in dilemma regarding classification of above accounts as NPA although these are fully secured or guaranteed. Guide him.

Chapter 11 – Ethics and Terms of Audit Engagements

20. CA Sudhakar has been appointed as the auditor of AMRO Ltd. Before accepting the appointment, he learns that his cousin, who held shares in the company and recently passed away without children, named him as the nominee for these shares, which have substantial value. Although holding such shares through a distant relative does not violate legal provisions or affect his independence, this unexpected inheritance places him in a dilemma. Advise CA Sudhakar on how he should deal with this situation and safeguard his independence.